

XÓM E-COM



I. OVERVIEW

About Xóm E-Com

Xóm E-Com is an e-commerce platform operating in over 140 countries across four main markets: US, EMEA, APAC, and LATAM. Xóm E-Com does not have a physical presence, all transactions are conducted via the web and mobile app, with orders shipped directly to customers' addresses through logistics partners.

Business model

Xóm E-Com generates an annual revenue of ~\$2.3M with a gross margin of ~20%. Its catalog consists of 3 major categories: Office Supplies, Furniture, and Technology, featuring ~1,900 SKUs. The customer base is divided into 3 segments: Consumer (individuals, accounting for 60% of the volume), Corporate (B2B, 25%), and Home Office (SMB, 15%). Each segment exhibits distinct purchasing behaviors.

XÓM E-COM

\$6.52M

Total Sales

\$1.07M

Total Profit

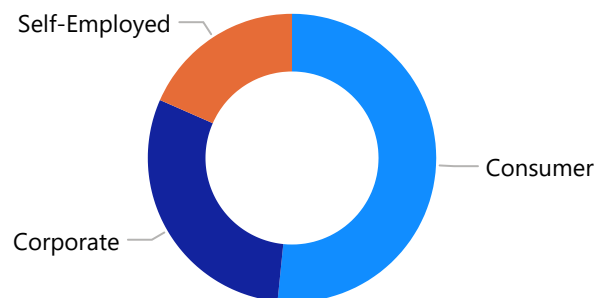
16.35%

Profit Margin

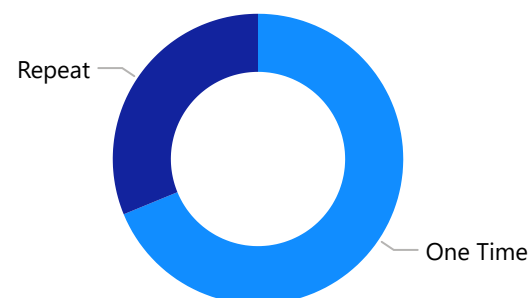
17.42K

No. customers

Count of customer_id by segment

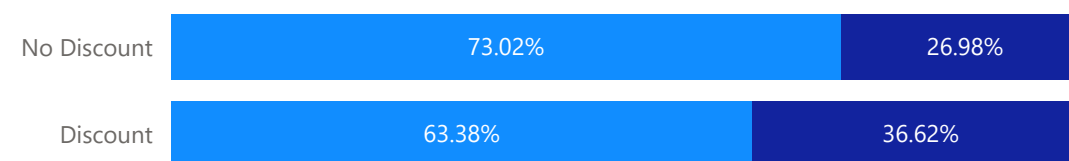


Customer Type percentage



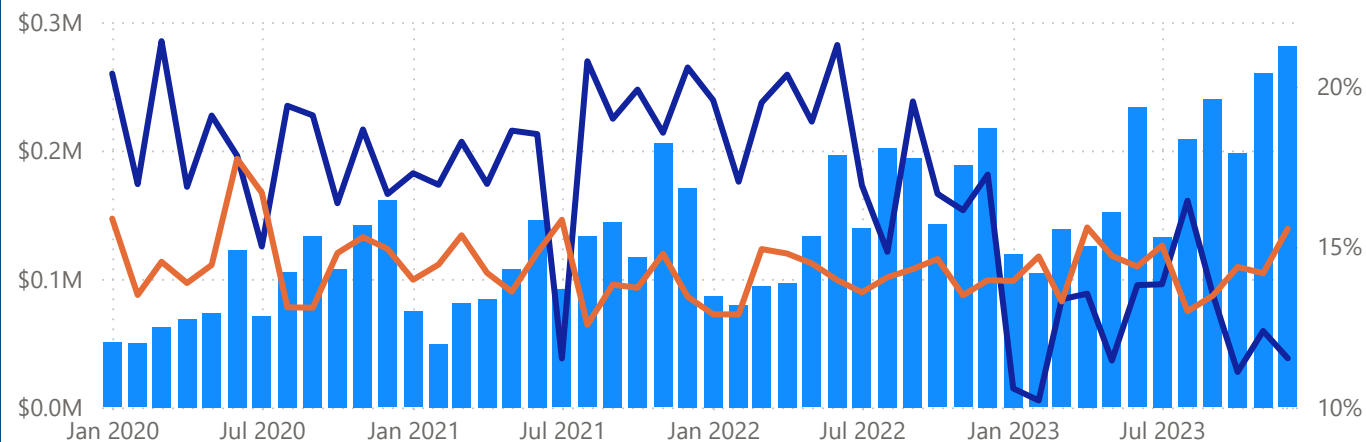
No. Customers had Discount at first order

● One Time ● Repeat



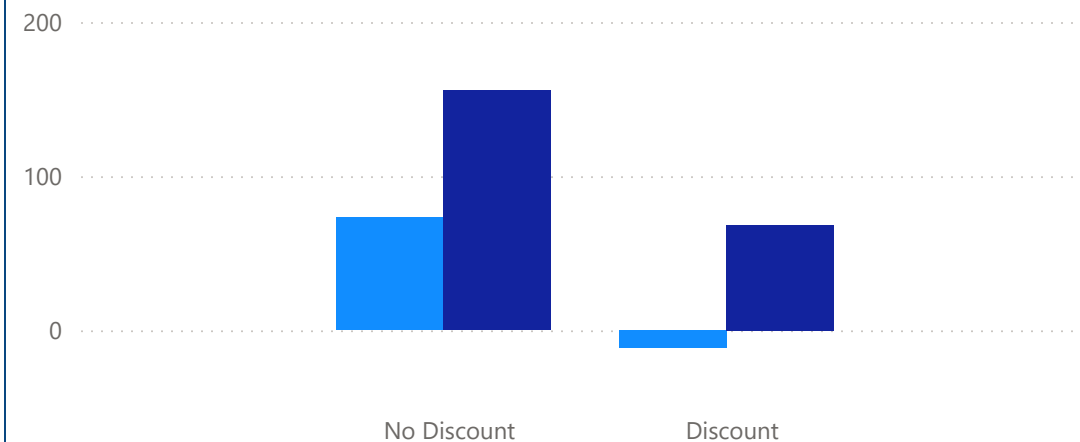
Total Sales and Profit Margin by Date

● Total Sales ● Profit Margin ● Avg Discount



Average LTV Profit per Customer

● One Time ● Repeat



II. Problem Statement

Looking at the "Total Sales and Profit Margin by Date" chart, it is evident that almost every time the Avg Discount (the orange line) spikes to a peak, the Profit Margin (the dark blue line) plunges to a trough. Notably, in the second half of 2023, Total Sales continuously surged and set new records, yet the Profit Margin line plummeted to its lowest point in the last four years. Clearly, the e-commerce platform is 'buying' revenue at the expense of its own profit. This trade-off needs to be clarified:

Question 1: The platform issues numerous discounts to drive customer conversion; in reality, what percentage of the profit are these discounts actually erode?

Next, looking at the "No. Customers had Discount at first order" chart, the proportion of one-time buyers within the discounted group constitutes the majority (overall, it is practically no different from having no discount at all). The Consumer segment constitutes 51.6% of the total customer base and is hypothesized to exhibit frequent discount-seeking behavior. Consequently, this analysis will focus primarily on the behavioral patterns of these customers.

Question 2: Could it be that when this customer group considers making subsequent purchases, the discounts offered for these future orders are no longer as attractive to them as the initial discount was?

III. Analysis Method

3.1. Tiering Analysis: Quantifying Profit Erosion

Problem: To what extent do varying discount levels erode overall profitability?

Applied Technique: Data binning. Discount rates are categorized into discrete tiers ("0%", "1% - 20%", "21% - 40%", "41% - 60%", and "Above 60%"). Bar charts are then utilized to contrast the generated revenue against the realized profit across each tier. This systematic approach precisely identifies the platform's financial breakeven point.

3.2. Micro-Behavioral Tracking

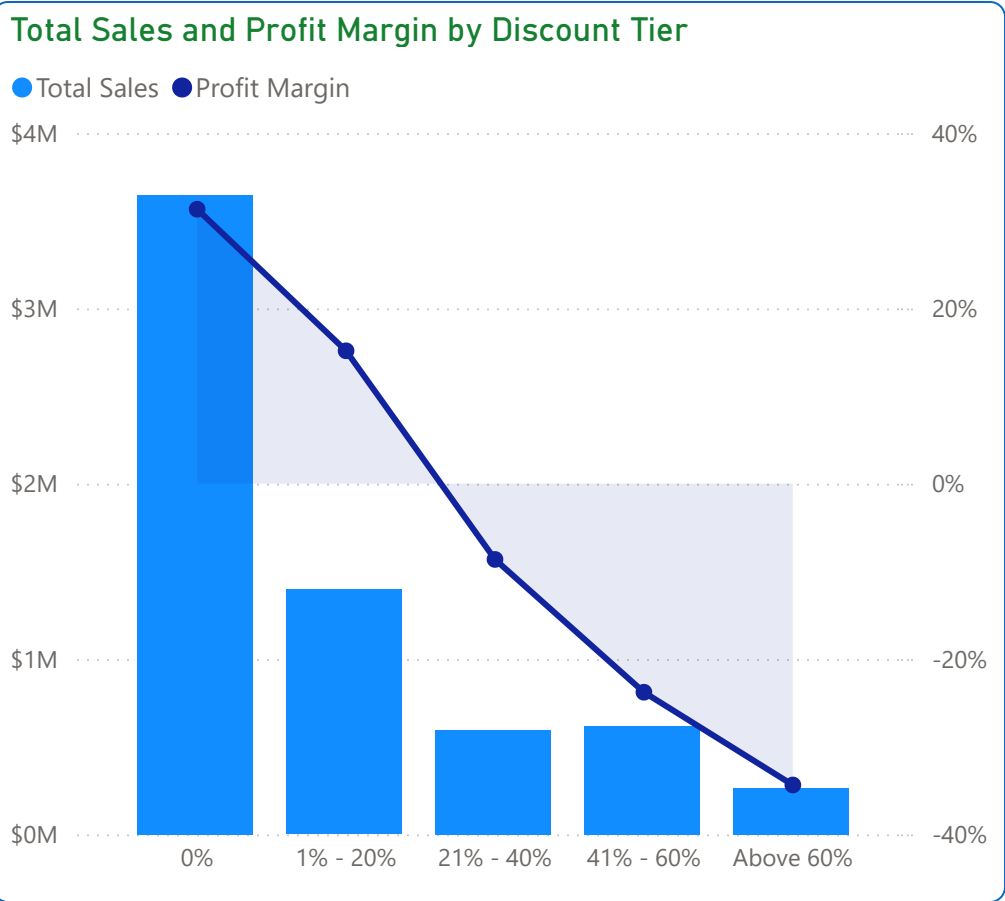
Problem: Do customers exhibit diminished responsiveness to post-acquisition discounts?

Applied Technique: Customers who utilized a discount on their initial order are flagged and monitored across subsequent transactions. The analysis calculates the average discount threshold required to trigger a repeat purchase. This comparative tracking effectively distinguishes high-value, loyal buyers from opportunistic bargain hunters.

IV. Results



Question 1: What percentage of the profit are the discounts actually erode?



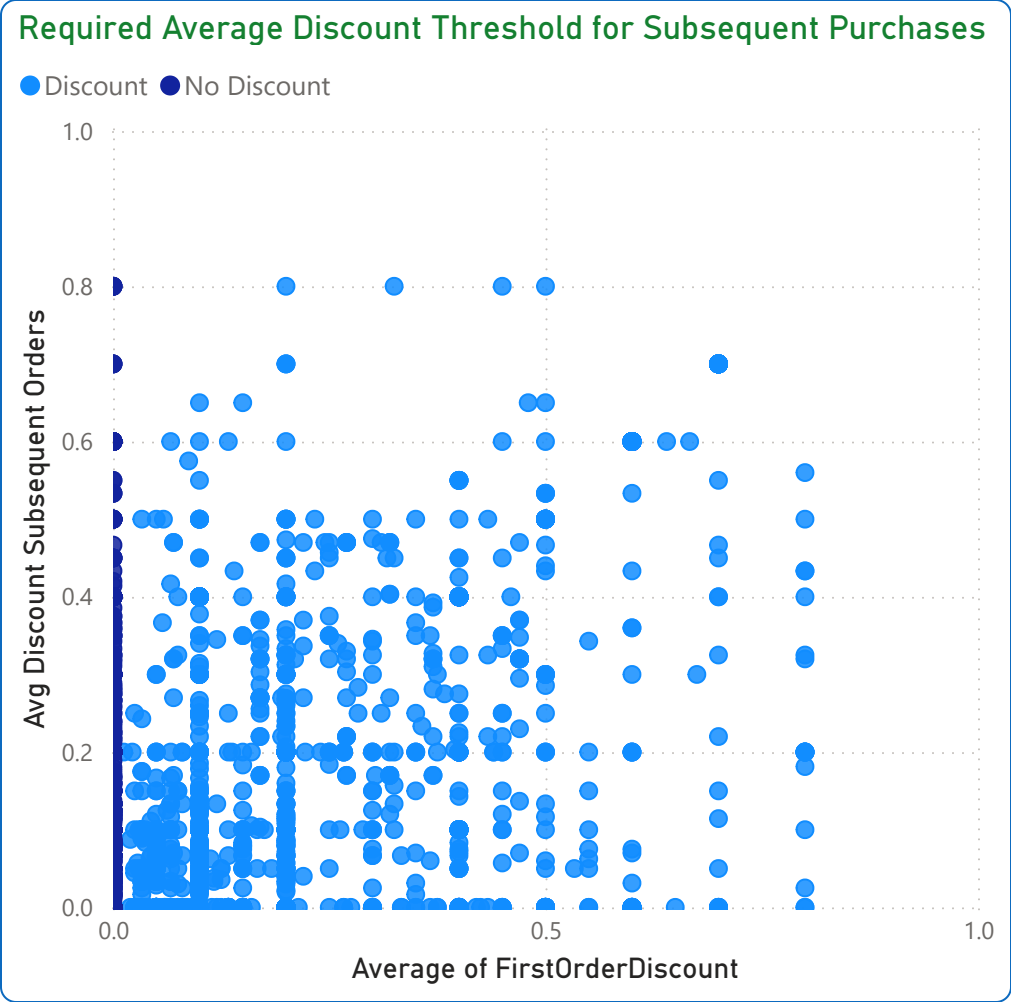
category	Total Sales	Profit Margin
Face care	\$364,255	18.85%
Make up	\$892,102	17.23%
Body care	\$3,344,930	16.86%
Hair care	\$898,161	15.47%
Home and Accessories	\$1,018,136	13.77%
Total	\$6,517,584	16.35%



INSIGHT

A 20% discount rate serves as the critical safety threshold; exceeding 21% immediately drives the profit margin below 0%. The data reveals that aggressive discounting fails to stimulate substantial revenue growth while directly causing negative profitability. Consequently, the platform's aggregate profit margin is compressed to 16.35%, with the Home and Accessories category exhibiting the thinnest profitability at merely 13.77%.

Question 2: Repeat purchase behavior - Loyalty or Deal Hunters?



Discount at first order	Avg Discount Subsequent Orders	No. customers
Discount	0.20	4030
No Discount	0.07	4957
Total	0.14	8987

💡 INSIGHT

Customers acquired through initial discounts exhibit acute price sensitivity. Triggering repeat purchases from these customers requires an average discount of 20% - nearly triple the 7% threshold of organically acquired buyers. Furthermore, the scatter plot reveals a significant concentration of these customers consistently hovering above the platform's 20% safe margin limit, identifying them as a distinct segment of opportunistic 'deal hunters'.

V. Conclusion & Recommendations

4.1. Conclusion: The Trade-off Landscape

A 20% discount rate is the safety threshold for profitability. Deeper discounts fail to stimulate revenue spikes and directly push the platform into net losses. This raises a hypothesis for future analysis: Is the platform attempting to liquidate near-expired or stagnant inventory?

The discount strategy disproportionately attracts "Deal Hunters." A key question requires further investigation: Is Xóm E-Com intentionally absorbing these losses as a customer acquisition cost to boost brand awareness?

The platform is subsidizing losses to acquire one-time buyers with high churn rates. Consequently, the Lifetime Value (LTV) Profit of the discounted customers is significantly lower and frequently negative compared to organically acquired customers.

4.2. Actionable Recommendations

Investigate SKUs with exceptionally high discount rates (e.g., clearance of expiring or slow-moving stock) and consider setting a strict discount ceiling (maximum 20%).

Pivot Acquisition Strategies: Reallocate budgets away from initial discounts toward value-added incentives, such as free shipping, product sampling, or conditional vouchers (redeemable strictly on the second purchase).

Concentrate customer care and retention spending on the organic customers. These buyers demonstrate consistent repeat purchasing at minimal discount thresholds (~7%) and generate sustainable, positive LTV.

Conduct a pricing review of the Home and Accessories category (currently yielding the lowest profit margin at 13.77%). It is imperative to adjust base prices or restructure product bundles before executing any future promotional campaigns within this segment.